FREE BUSINESS GUIDE #02

Mushroom Farming (Oyster)

Viral Business Ideas series by Paisa Stack. A practical starter guide for India.

What is this business?

Growing oyster mushrooms (Pleurotus) on pasteurised wheat or paddy straw inside a clean room. Bags are filled with straw and spawn (mushroom seed), kept dark for 2-3 weeks, then given light, air and humidity. The first harvest comes in about 20-25 days and each bag gives 3-4 harvests over 45-60 days.

Who should start it

Homemakers, students, farmers and anyone with a spare 10x12 ft room, about Rs 35,000 and a few hours a day. No AC is needed for most of the year in most of India: oyster grows at about 20-30°C with 70-90% humidity.

Investment needed (approx.)

Item	Approx. cost
Racks or hanging ropes for 200 bags	Rs 12,000
Fogger / humidifier	Rs 4,000
Drums and tub for soaking and pasteurising straw	Rs 3,000
Thermometer + hygrometer	Rs 400
Sprayer, plastic sheet, tools, disinfectant	Rs 3,000
Short training (KVK or private, optional)	Rs 2,000
FSSAI basic registration + Udyam (free)	Rs 100
Total setup	**about Rs 24,500**
First batch: 200 bags x Rs 40	Rs 8,000

Cost per bag

Per bag (1.5-2 kg dry straw)	Approx. cost
Straw	Rs 8-12
Spawn (seed)	Rs 10-15
Polythene bag	Rs 2-3
Fuel and electricity	Rs 3-5
Labour (if hired)	Rs 5-8
Sanitation and misc.	Rs 4-5
Total	**Rs 32-48 (about Rs 40)**

Step-by-step setup

- **Train first:** your nearest Krishi Vigyan Kendra (KVK) or agriculture university runs short courses.
- **Prepare the room:** clean, disinfect, add racks, fogger and hygrometer.
- **Pasteurise straw:** chop, soak, treat with hot water or a chemical method, drain to 65-70% moisture.
- **Fill bags:** layer straw and spawn, tie, punch small holes.
- **Spawn run (2-3 weeks):** keep dark until bags turn fully white.
- **Fruiting:** cut slits, give light and fresh air, keep humidity high, harvest every few days for 3-4 flushes.
- **Sell the same day** or dry the surplus (8-10 kg fresh makes about 1 kg dried).

Costing and margin: one 200-bag batch

	All wholesale	Half direct, half wholesale
Cost (200 bags x Rs 40)	Rs 8,000	Rs 8,000
Yield (1 kg/bag, minus 10% loss)	180 kg	180 kg
Average price	Rs 120/kg	Rs 150/kg
Revenue	Rs 21,600	Rs 27,000
Packing + transport (Rs 10/kg)	Rs 1,800	Rs 1,800
Profit per batch	**Rs 11,800**	**Rs 17,200**

About 6 batches a year from one room gives roughly Rs 70,000 - 1 lakh a year. Setup is recovered in about two batches. For full-time income, scale to 1,000+ bags.

Licences

- **FSSAI:** basic registration (Rs 100/year) up to Rs 12 lakh turnover; state licence above. Needed for packed, dried or processed products.
- **Udyam (MSME):** free online; needed for most subsidies and loans.
- **GST:** fresh mushrooms are exempt; dried mushrooms and powder are generally taxed (usually 5%). Confirm HSN with a CA.
- **Trade licence** from your local body, if your city needs one.

Subsidy and loans

- **PMEGP:** 25-35% of project cost for a new unit (apply online via KVIC with a project report).
- **MIDH / NHM:** mushroom unit support through your District Horticulture Officer.
- **PMFME:** 35% support for drying, packing and processing.
- **Mudra loan** for working capital. Subsidy is usually paid after setup, against a bank loan.

First customers

- Vegetable vendors, mandis, hotels, dhabas and cloud kitchens (wholesale, steady).
- Housing societies and WhatsApp groups (direct, higher price).
- Dried mushroom and powder on Amazon, Flipkart or Instagram (needs FSSAI + packing).
- Ready-to-grow kits for gifts and schools.

Risks and your first 30-45 days

- **Contamination:** expect 20-40% loss in the first batch. Buy spawn from a trusted lab and keep the room clean.
- **Short shelf life:** fresh oyster lasts 2-3 days. Line up buyers before harvest and dry the rest.
- **Plan:** week 1 training + room prep; week 2 first 50-bag test batch; weeks 4-6 harvest, find buyers; then scale to 200 bags.

Costs, yields and prices are indicative 2026 estimates and vary by city, season, scale and supplier. Scheme rates change often and differ by state. Income from growing mushrooms in rooms is usually business income, not tax-free agricultural income. Verify before investing. More free guides and calculators: paisastack.com

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